

[1 EDW. 8. & *Margate Broadstairs and* [Ch. xviii.]
1 GEO. 6.] *District Electricity Act, 1937.*



CHAPTER xviii.

An Act to synchronise the dates of purchase of the several portions of the electricity undertaking of the Isle of Thanet Electric Supply Company Limited to make new provision with respect to the purchase of the whole of that undertaking and for other purposes. [29th April 1937.] A.D. 1937.

WHEREAS the Isle of Thanet Electric Supply Company Limited (hereinafter referred to as "the Company") are supplying electricity within part of the county of Kent under powers conferred by the following Orders (hereinafter referred to as "the four Orders") :—

- (1) The Margate Corporation Electric Lighting Order 1896 confirmed by the Electric Lighting Orders Confirmation (No. 4) Act 1896; 59 & 60 Vict. c. cxviii.
- (2) The Broadstairs Electric Lighting Order 1899 confirmed by the Electric Lighting Orders Confirmation (No. 16) Act 1899; 62 & 63 Vict. c. cxxiv.
- (3) The Isle of Thanet (Rural) Electric Lighting Order 1901 confirmed by the Electric Lighting Orders Confirmation (No. 7) Act 1901; 1 Edw. 7. c. clxxiv.
- (4) The Westgate and Birchington Electricity Special Order 1924 :

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And whereas the respective areas of supply for the purposes of the four Orders adjoin and together now consist of—

- (1) the whole of the borough of Margate except certain areas which were transferred by the County of Kent Review Order 1935 (hereinafter referred to as “the Review Order”) to that borough from the former parishes of Acol and Minster in the former rural district of the Isle of Thanet;
- (2) the whole of the urban district of Broadstairs and St. Peter’s except certain small areas which were transferred by the Review Order to that district from the borough of Ramsgate;
- (3) certain small areas in the parish of Acol in the rural district of Eastry which were transferred by the Review Order to that parish from the former parish of Birchington in the former rural district of the Isle of Thanet;
- (4) certain small areas in the borough of Ramsgate which were transferred by the Review Order to that borough from the former parish of Garlinge in the former rural district of the Isle of Thanet and from the urban district of Broadstairs and St. Peter’s :

51 & 52 Vict.
c. 12.

And whereas under the Electric Lighting Act 1888 and the Review Order the respective local authorities for the borough of Margate the urban district of Broadstairs and St. Peter’s the rural district of Eastry and the borough of Ramsgate are entitled within the period of six months after certain different dates to exercise certain rights of purchasing so much of the Company’s electricity undertaking as is within their respective jurisdictions upon the terms set out in that Act of 1888 and subject to the provisions of that Act and the Review Order :

And whereas the following table sets out by which local authorities the several portions of the Company’s electricity undertaking authorised by the four Orders are so purchaseable and the earliest dates within six

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months after which those authorities are so entitled to A.D. 1937.
exercise their said respective purchase rights :—

Order.	Purchasing authority.	Earliest date of purchase.
1896	Margate Corporation - - -	20th July 1938.
1899	Broadstairs and St. Peter's Urban District Council.	13th July 1941.
	Ramsgate Corporation - - -	
1901	Margate Corporation - - -	9th August 1943.
	Broadstairs and St. Peter's Urban District Council.	
	Ramsgate Corporation - - -	
1924	Margate Corporation - - -	5th August 1966.
	Eastry Rural District Council - - -	

And whereas so far as the respective purchase rights of the said four local authorities are rights transferred to them by the Review Order such rights are not exerciseable except with the consent of the Electricity Commissioners and until the constitution of a joint electricity authority under the Electricity (Supply) Act 1919 for a district in which the Company's electricity undertaking is situate none of such purchase rights is exerciseable except with the consent of the Electricity Commissioners : 9 & 10 Geo. 5. c. 100.

And whereas it is expedient to synchronise the dates on which the several portions of the Company's electricity undertaking may be purchased and to make provision as in this Act contained for the purchase of the whole of the undertaking at the same time (and not in separate portions) by the Margate Corporation or the Broadstairs and St. Peter's Urban District Council or by a joint board representative of those two authorities :

And whereas it is expedient that the other provisions of this Act be enacted :

And whereas the objects of this Act cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in

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A.D. 1937. — this present Parliament assembled and by the authority of the same as follows :—

Short title. 1. This Act may be cited as the Margate Broadstairs and District Electricity Act 1937.

Definitions. 2. In this Act unless the subject or context otherwise requires—

“ the Company ” means the Isle of Thanet Electric Supply Company Limited ;

“ the four Orders ” means :—

(1) The Margate Corporation Electric Lighting Order 1896 ;

(2) The Broadstairs Electric Lighting Order 1899 ;

(3) The Isle of Thanet (Rural) Electric Lighting Order 1901 ; and

(4) The Westgate and Birchington Electricity Special Order 1924 ;

“ the limits of supply ” means the whole area included within the respective areas of supply under the four Orders ;

“ the undertaking ” means the whole of the electricity undertaking of the Company authorised by the four Orders ;

“ the Westgate and Birchington undertaking ” means that part of the undertaking which is authorised by the Westgate and Birchington Electricity Special Order 1924 ;

“ the Margate Corporation ” means the mayor aldermen and burgesses of the borough of Margate ;

“ the Broadstairs Council ” means the urban district council of Broadstairs and St. Peter's ;

“ the Ramsgate Corporation ” means the mayor aldermen and burgesses of the borough of Ramsgate ;

“ the Eastry Council ” means the rural district council of Eastry ;

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“the four authorities” means the Margate Corporation the Broadstairs Council the Ramsgate Corporation and the Eastry Council; A.D. 1937.
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“the two authorities” means the Margate Corporation and the Broadstairs Council;

“the purchasing authority” means the Margate Corporation or the Broadstairs Council or a joint board representative of the two authorities to whom the Company may be required to sell their undertaking pursuant to section 4 (Purchase rights of Margate Corporation and Broadstairs Council) of this Act;

“the agreement” means the agreement made on the nineteenth day of August nineteen hundred and thirty-six between the two authorities and the Company;

“Sinking fund ‘A’” and “sinking fund ‘B’” respectively mean the sinking funds which the Company are required to provide by paragraph (1) and paragraph (2) respectively of clause 8 of the agreement;

“the Company’s share of the profits” means with respect to any year the aggregate of—

(a) the sum of thirty-five thousand seven hundred and ninety pounds being six per centum of five hundred and ninety-six thousand five hundred pounds which was the aggregate capital expenditure of the Company on the undertaking up to and including the thirty-first day of December nineteen hundred and thirty-five;

(b) a sum equal to five per centum on any capital expenditure incurred by the Company on the undertaking after the said thirty-first day of December and before the end of the year with respect to which the Company’s share of the profits is to be ascertained but as regards any item of expenditure incurred during that year calculated from the usual quarter day next following the incurring of such item of expenditure to the end of the year;

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—

(c) the sum of one thousand pounds representing interest on working capital; and

(d) the sinking fund provision for the year;

“the sinking fund provision” means with respect to any year the aggregate of—

(i) the sum of eight thousand one hundred and seventy-seven pounds which the Company are required to set aside annually to sinking fund “A” in accordance with paragraph (1) of clause 8 of the agreement; and

(ii) such sum as the Company shall be required to set aside in the year to sinking fund “B” in accordance with paragraph (2) of the same clause 8;

“gross profits” means with respect to any year the total amount of the credit balances of the Company on revenue account for the year as shown in the statements of accounts for the year rendered by the Company to the Electricity Commissioners (pursuant to section 9 of the Electric Lighting Act 1888 as amended by section 6 of the schedule to the Electric Lighting (Clauses) Act 1899) in respect of the separate portions of the undertaking authorised by the four Orders respectively.

62 & 63 Vict.
c. 19.

Cesser of
existing
purchase
rights.

3. On the passing of this Act the powers of the two authorities and either of them under the Electric Lighting Act 1888 and the four Orders (as amended or varied by the County of Kent Review Order 1935) or under any other Act Order or instrument to purchase any part of the undertaking shall cease but in lieu of those powers the two authorities shall subject to the provisions of section 7 (Saving purchase rights of Ramsgate Corporation and Eastry Council) of this Act have the power to purchase the undertaking conferred by the next succeeding section of this Act.

Purchase
rights of
Margate Cor-
poration and
Broadstairs
Council.

4.—(1) Subject as hereinafter provided either of the two authorities may with the consent of the Electricity Commissioners give not less than six months' notice in writing to the Company expiring on the first day of January in the year nineteen hundred

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and forty-six or in any subsequent tenth year requiring the Company to sell to them on the date of expiry of the notice the undertaking (but not any part or parts thereof) on terms ascertained in accordance with section 6 (Consideration for purchase) of this Act. A.D. 1937.
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(2) A notice by either of the two authorities under subsection (1) of this section shall not be valid unless—

- (a) the notice be given pursuant to a resolution passed by the authority giving the notice not more than six months nor less than three months before the first day of July in the year in which the notice is given; and
- (b) that authority shall have within two weeks after the passing of the resolution and before giving the notice to purchase under subsection (1) of this section notified the resolution to the other of the two authorities and required the other of the two authorities to decide whether they intend to join in the purchase of the undertaking.

(3) If the authority on whom any such requirement has been made under the last preceding subsection do not before the first day of June in the year in which the requirement is made resolve to join in the purchase of the undertaking the power of that authority under this section to purchase the undertaking shall cease and the authority by whom the requirement was made may alone give notice to the Company in accordance with the provisions of subsection (1) of this section to purchase the undertaking and the Company shall on the date of expiry of the notice sell to the last-mentioned authority the whole of the undertaking on terms ascertained in accordance with the said section 6 of this Act.

(4) (a) If the authority on whom any such requirement has been made under subsection (2) of this section resolve before the first day of June in the year in which the requirement is made to join in the purchase of the undertaking the two authorities shall forthwith apply to the Electricity Commissioners for a Special Order under section 8 of the Electric Lighting Act 1909 and section 26 of the Electricity (Supply) Act 1919 for the constitution of a joint board representative of the two authorities 9 Edw. 7.
c. 34.

A.D. 1937. — and the notice to purchase the undertaking shall be given only by the two authorities together and not by either of them alone.

(b) If any notice be given to the Company under the foregoing provisions of this section by the two authorities together the Company shall on the date of expiry of the notice sell to a joint board constituted as aforesaid the whole of the undertaking on terms ascertained in accordance with the said section 6 of this Act Provided that if the Special Order constituting the joint board shall not have been made and approved by Parliament before the expiry of the notice the undertaking shall be so sold on such date as may be determined by the Electricity Commissioners.

(5) Subject to the provisions of the said section 6 of this Act the Electricity Commissioners may determine any questions which may arise in relation to the purchase of the undertaking pursuant to this section and may fix the date on which such purchase is to take effect and from and after the date so fixed or such other date as may be agreed between the purchasing authority and the Company all lands buildings works materials and plant so purchased as aforesaid shall vest in the purchasing authority freed from any debts mortgages or similar obligations of the Company or attaching to the undertaking and the powers of the Company in relation to the supply of electricity under the four Orders shall absolutely cease and determine and shall vest in the purchasing authority.

Constitution
of joint
board.

5.—(1) If application be made to the Electricity Commissioners under the last preceding section of this Act for a Special Order for the constitution of a joint board representative of the two authorities the Electricity Commissioners may make and the Minister of Transport may confirm an Order constituting such a joint board for the purchase and carrying on of the undertaking and the Order may contain such provisions as the Electricity Commissioners may think proper with respect to the constitution of the joint board the raising of capital and the borrowing of money by the joint board and the two authorities (as the two authorities may determine) and the mode of dealing with any surplus or deficiency in the accounts of the joint board and generally for facilitating the carrying on of the undertaking by the joint board.

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(2) The Electricity Commissioners may also include in any such Special Order such provisions as may appear to them necessary or proper for adapting and making applicable to the joint board any of the provisions of the Electricity (Supply) Acts 1882 to 1936 and the schedule to the Electric Lighting (Clauses) Act 1899 and of any Act amending or superseding those Acts or any of them and also of any Provisional Order and Special Order made under those Acts.

A.D. 1937.

6.—(1) The consideration to be paid by the purchasing authority to the Company for the purchase of the undertaking pursuant to the foregoing provisions of this Act shall be determined in accordance with the following provisions of this section.

Considera-
tion for
purchase.

(2) For such of the lands buildings works machinery plant mains apparatus appliances and other like property (hereinafter in this section referred to as "physical assets") forming part of the undertaking so purchased as shall have been in use or available and suitable for use on the thirty-first day of December nineteen hundred and thirty-five the purchasing authority shall pay to the Company the sum of three hundred and eighty-nine thousand pounds (being the sum obtained by deducting from the aggregate capital expenditure of the Company on the undertaking up to and including the said thirty-first day of December the amount of depreciation as agreed between the two authorities and the Company) less the amount standing to the credit of sinking fund "A" at the date of purchase and of that sum the amount of forty-three thousand five hundred pounds shall be deemed to be the value as at the said thirty-first day of December of such of the said physical assets as form part of the Westgate and Birchington undertaking.

(3) For such of the physical assets forming part of the undertaking so purchased as shall have been provided by the Company after the said thirty-first day of December the purchasing authority shall pay to the Company a sum equal to the aggregate amount of the expenditure which has been or shall have been properly charged by the Company to capital account after the said thirty-first day of December less the amount standing to the credit of sinking fund "B" at the date of purchase.

A.D. 1937.

(4) (a) If the undertaking be purchased pursuant to a notice expiring on the first day of January nineteen hundred and forty-six the purchasing authority shall pay to the Company the further sum of twenty per centum of so much of the sums payable by the purchasing authority under subsections (2) and (3) of this section as is attributable to the physical assets forming part of the Westgate and Birchington undertaking.

(b) If the undertaking be purchased pursuant to a notice expiring on the first day of January nineteen hundred and fifty-six the purchasing authority shall pay to the Company the further sum of ten per centum of so much of the sums payable by the purchasing authority under subsections (2) and (3) of this section as is attributable to the physical assets forming part of the Westgate and Birchington undertaking.

(5) For the spare parts stock-in-trade and stores of the Company forming part of the undertaking and in hand at the date of purchase (other than such physical assets as aforesaid) the purchasing authority shall pay to the Company a sum equal to the value thereof as appearing in the books of the Company at the date of purchase.

(6) All assets of the Company at the date of purchase not being physical assets or assets referred to in the last preceding subsection shall be retained by the Company subject as hereinafter provided with respect to debts and sums of money due to the Company.

(7) The purchasing authority shall take over any liability of the Company existing at the date of purchase to members of any superannuation scheme formed by the Company with the approval of the Electricity Commissioners and there shall be deducted from the sums payable by the purchasing authority to the Company under the foregoing provisions of this section a sum equal to the balance (if any) standing to the credit of any such superannuation fund as at the date of purchase. Provided that the purchasing authority shall not be under obligation to take over any such liability as aforesaid unless the superannuation scheme shall have been submitted to the two authorities for their reasonable approval before its adoption by the Company.

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(8) The purchasing authority shall also pay to the Company on the purchase of the undertaking the following sums :— A.D. 1937.
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- (a) A sum equal to the aggregate amount of all debts and sums of money due to the Company at the date of purchase less five per centum ;
- (b) A sum equal to the total amount which shall have been paid by the Company up to the date of purchase in respect of income tax upon the sinking fund provision and shall not have been paid under clause 11 of the agreement out of the suspense account which the Company are required to provide by clause 9 of the agreement ;
- (c) A sum equal to the aggregate of all amounts by which the gross profits in any year between the thirty-first day of December nineteen hundred and thirty-five and the date of purchase shall have been less than the Company's share of the profits for the same year so far as such deficits shall not have been made good to the Company prior to the date of purchase out of the said suspense account ;
- (d) A sum equal to the aggregate amount of so much of all sums paid by the Company in respect of rents rates taxes insurances and other outgoings as is attributable to any period extending beyond the date of purchase Any sum so paid shall be apportioned between the purchasing authority and the Company as at the date of purchase.

(9) The purchasing authority shall collect and (subject to paragraph (a) of the last preceding subsection) retain all debts and sums of money due to the Company as at the date of purchase and shall discharge all liabilities of the Company for sums due from the Company in respect of the undertaking as at that date.

(10) Any dispute between the purchasing authority and the Company under this section shall be determined by the Electricity Commissioners or an arbitrator appointed by them and the decision of the said commissioners or the arbitrator shall be final.

A.D. 1937. — (11) In this section “the date of purchase” means the date on which the undertaking is sold by the Company to the purchasing authority pursuant to the foregoing provisions of this Act.

Saving purchase rights of Ramsgate Corporation and Eastry Council.

7.—(1) Nothing in this Act shall prejudice or affect any right of the Ramsgate Corporation or the Eastry Council existing at the passing of this Act to purchase with the consent of the Electricity Commissioners and pursuant to section 2 of the Electric Lighting Act 1888 so much of the undertaking as is situate at the passing of this Act in the borough of Ramsgate and the rural district of Eastry respectively and whether or not the undertaking shall have been sold under the foregoing provisions of this Act to the purchasing authority (as defined in section 2 of this Act) prior to the exercise by the Ramsgate Corporation or the Eastry Council of their said right.

(2) If the portion of the undertaking situate at the passing of this Act in the borough of Ramsgate be purchased by the Ramsgate Corporation or if the portion of the undertaking situate at the passing of this Act in the rural district of Eastry be purchased by the Eastry Council pursuant to their respective existing rights mentioned in subsection (1) of this section before the date on which the undertaking is sold by the Company pursuant to section 4 (Purchase rights of Margate Corporation and Broadstairs Council) of this Act to the said purchasing authority the following provisions shall have effect on the date of such purchase by the Ramsgate Corporation or the Eastry Council:—

- (a) the portion of the undertaking so purchased by the Ramsgate Corporation or the Eastry Council shall cease to be part of the undertaking which is purchaseable by the purchasing authority under the said section 4;
- (b) the powers of the Company in relation to the supply of electricity under the four Orders so far as those powers are exerciseable in that part of the borough of Ramsgate or of the rural district of Eastry (as the case may be) which is within the Company's areas of supply under the four Orders shall absolutely cease

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and determine and shall vest in the Ramsgate Corporation or the Eastry Council (as the case may be); A.D. 1937.
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- (c) the expenditure on the undertaking charged by the Company to capital account subsequent to the year nineteen hundred and thirty-five shall be deemed to be reduced by an amount equal to the sum paid by the Ramsgate Corporation or the Eastry Council (as the case may be) in accordance with the provisions of the said section 2 of the Electric Lighting Act 1888 as the consideration for the portion of the undertaking so purchased and the future payments by the Company to sinking fund "B" shall be reduced accordingly and—

(i) if the said sum be paid by the Ramsgate Corporation the reduction of the expenditure so charged to capital account shall be deemed to have been made in respect of that part of the undertaking which is not authorised by the Westgate and Birchington Electricity Special Order 1924; and

(ii) if the said sum be paid by the Eastry Council the reduction of the expenditure so charged to capital account shall be deemed to have been made in respect of that part of the undertaking which constitutes the Westgate and Birchington undertaking.

8. Nothing in this Act shall diminish or prejudicially affect any right power or privilege of the county council of the administrative county of Kent and notwithstanding any sale under the provisions of this Act or of any other Act of the undertaking or any part thereof the successors for the time being of the Company in any and every part of the limits of supply shall as from the date of the said sale be subject in respect of the undertaking or part thereof so purchased to all obligations imposed on or attaching to the Company in relation to any such right power or privilege of the said county council. Saving for Kent County Council.

9.—(1) The Company shall deliver to the Registrar of Companies a printed copy of this Act and he shall retain and register it. If such copy is not so delivered within three months from the passing of this Act the Copy of Act to be registered.

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A.D. 1937. — Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur a like penalty.

(2) Every penalty under this section shall be recoverable summarily.

(3) There shall be paid to the registrar by the Company on such copy being registered the fee of five shillings.

Costs of
Act.

10. All costs charges and expenses preliminary to and of and incidental to the preparing applying for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

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